

SIPs.¹⁸⁴¹ Specifically, the Commission is adding 11 initial burden hours¹⁸⁴² and 19.8 annual burden hours¹⁸⁴³ to its previous estimates.

In addition, the amendments require the primary listing exchange for each NMS stock to provide an indicator of the round lot size to the applicable exclusive SIP for dissemination and to calculate and provide to competing consolidators, self-aggregators, and the applicable exclusive SIP an indicator of the applicable minimum pricing increment for dissemination. The primary listing exchange is already required to calculate the applicable round lot size and provide it to competing consolidators and self-aggregators under the MDI Rules, and the incremental burden of providing this indicator to the two exclusive SIPs is likely to be minimal. However, calculating the applicable minimum pricing increment and providing it to competing consolidators, self-aggregators, and the exclusive SIPs will entail additional burdens.

Specifically, primary listing exchanges will need to program systems to calculate the applicable minimum pricing increment for each NMS stock that they list semiannually based on its TWAQS and to include this information in the data that they provide to competing

¹⁸⁴¹ The Commission believes that 5% of the initial and ongoing, annual burden hour estimates provided in the MDI Rules for each SRO to make the data necessary to generate consolidated market data available to competing consolidators and self-aggregators is appropriate because the SROs already collect the data necessary to generate odd-lot information and this information is a subset of consolidated market data as defined in the MDI Rules.

¹⁸⁴² The Commission estimates the monetized initial burden for this requirement to be \$4,261. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead: [(Compliance Manager at \$373 for 5.25 hours) + (Attorney at \$501 for 3.5 hours) + (Sr. Systems Analyst at \$343 for 1 hour) + (Operations Specialist at \$165 for 1.25 hours)] = 11 initial burden hours and \$4,261.

¹⁸⁴³ The Commission estimates the monetized ongoing, annual burden for this requirement to be \$7,646.6. The Commission derived this estimate based on per hour figures from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits, and overhead: [(Compliance Manager at \$373 for 10.6 hours) + (Attorney at \$501 for 3.4 hours) + (Sr. Systems Analyst at \$343 for 5.8 hours)] = 19.8 annual burden hours and \$7,646.6.

consolidators, self-aggregators, and the exclusive SIPs. Therefore, the Commission revising its burden estimates for Rule 603(b) upwards to account for the calculation of the applicable minimum pricing increment and the provision of this information to competing consolidators, self-aggregators, and the exclusive SIPs. Specifically, the Commission is adding 50 initial burden hours¹⁸⁴⁴ and 32 annual burden hours¹⁸⁴⁵ for each primary listing exchange to its previous estimates and 250 total initial burden hours¹⁸⁴⁶ and 160 total annual burden hours¹⁸⁴⁷ for five primary listing exchanges.

In addition, the MDI Rules include a collection of information requirement under rules 614(d)(1) through (3), which require competing consolidators to collect from the SROs quotation and transaction information for NMS stocks, calculate and generate a consolidated market data product, and make the consolidated market data product available to subscribers.¹⁸⁴⁸ As discussed above, the amended definition of odd-lot information includes a specified best odd-lot order to buy and best odd-lot order to sell. Since the odd-lot quotes that a competing consolidator would use to identify and disseminate the best odd-lot orders—if the competing consolidator

¹⁸⁴⁴ The Commission estimates the monetized initial burden for this requirement to be \$19,000 per primary listing exchange. Salaries are derived from SIFMA's Management & Professional Earnings in the Securities Industry 2013, modified to account for an 1,800-hour work-year and inflation, and multiplied by 5.35 to account for bonuses, firm size, employee benefits and overhead: [(Sr. Programmer at \$368 for 25 hours) + (Sr. Systems Analyst at \$316 for 10 hours) + (Compliance Manager at \$344 for 10 hours) + (Director of Compliance at \$542 for 5 hour)] $\approx$ \$19,000 per listing exchange). See supra notes 1644-1645 and accompanying text.

¹⁸⁴⁵ The Commission estimates the monetized ongoing, annual burden for this requirement to be \$9,000 per primary listing exchange. ((Compliance Attorney at \$406 for 6 hours) + (Compliance Manager at \$344 for 2 hours)) x 4 tick size revisions per year] $\approx$ \$9,000 per listing exchange. Id.

¹⁸⁴⁶ 50 initial burden hours per primary listing exchange x 5 primary listing exchanges = 250 total initial burden hours. The Commission estimates the total monetized initial burden of this requirement to be \$95,000 (\$19,000 per primary listing exchange x 5 primary listing exchanges = \$95,000). Id.

¹⁸⁴⁷ 32 annual burden hours per primary listing exchange x 5 primary listing exchanges = 160 total annual burden hours. The Commission estimates the total monetized annual burden of this requirement to be \$45,000 (\$9,000 per primary listing exchange x 5 primary listing exchanges = \$45,000). Id.

¹⁸⁴⁸ MDI Adopting Release, supra note 10, at 18703.

offers a consolidated market data product that includes this information—are already included in the data necessary to generate odd-lot information, the Commission believes that the existing burden estimates for rules 614(d)(1) through (3) account for the identification and dissemination of the best odd-lot orders.

IX. Regulatory Flexibility Act

The Regulatory Flexibility Act (“RFA”) requires the Commission, in promulgating rules,¹⁸⁴⁹ to consider the impact of those rules on small entities. This Final Regulatory Flexibility Analysis has been prepared in accordance with section 604 of the RFA.¹⁸⁵⁰ The Commission prepared an Initial Regulatory Flexibility Analysis and a Regulatory Flexibility Act certification in accordance with the RFA and included in the Proposing Release.¹⁸⁵¹

In the Proposing Release, the Commission certified that the proposed amendments to Rules 600, 603 and 610 would not have a significant economic impact on a substantial number of small entities for purposes of the RFA.¹⁸⁵² The Proposing Release solicited comments on the certification. The Commission received no comments on this certification.

With respect to Rule 612, an initial Regulatory Flexibility Analysis (“IRFA”) was prepared in accordance with the RFA and was included in the Proposing Release.¹⁸⁵³ The Commission has prepared this Final Regulatory Flexibility Analysis (“FRFA”) in accordance with section 604 of the RFA.¹⁸⁵⁴ The Commission did not receive comments on the IRFA.

¹⁸⁴⁹ 5 U.S.C. 553.

¹⁸⁵⁰ See 5 U.S.C. 604.6.

¹⁸⁵¹ See section VIII of the Proposing Release, supra note 11.

¹⁸⁵² See supra id.

¹⁸⁵³ See section VIII of the Proposing Release, supra note 11. See supra section VII.B.

¹⁸⁵⁴ 5 U.S.C. 604.

A. Amendments to Rule 612 – Final Regulatory Flexibility Analysis

1. Reasons for the Action

As discussed in section III, the Commission is adopting amendments to Rule 612 to update and modernize the rule for the current trading environment. As adopted, Rule 612 will reduce minimum pricing increment for orders and quotes priced \$1.00 or greater for certain NMS stocks.

2. Small Entities Subject to the Rule

Rule 612 would apply to national securities exchanges, national securities associations, ATSS, vendors, and broker or dealers.

National securities exchanges are not small entities as defined by Commission rules. Exchange Act rule 0-10(e)¹⁸⁵⁵ states that the term “small business” when referring to an exchange means any exchange that has been exempted from the reporting requirements of Exchange Act rule 601 and is not affiliated with any person that is not a small business or small organization. There is only one national securities association, and the Commission has previously stated that it is not a small entity as defined by 13 CFR 121.201.¹⁸⁵⁶

Commission rule 0-10(c) defines a broker-dealer as a small entity for the purpose of this section if the broker-dealer had a total capital (net worth plus subordinated liabilities) of less than \$500,000 on the date in the prior fiscal year as of which its audited financial statements were prepared, had less than \$200 million of funds and securities in its custody of control at all times

¹⁸⁵⁵ 17 CFR 240.0-10(e).

¹⁸⁵⁶ See Securities Exchange Act Release No. 62174 (May 26, 2010), 75 FR 32556 (June 8, 2010) (“FINRA is not a small entity as defined by 13 CFR 121.201.”).

during the preceding fiscal year, and the broker-dealer is not affiliated with any person (other than a natural person) that is not a small entity.¹⁸⁵⁷ The Commission is updating the estimate from the Proposing Release and estimates that as of December 31, 2023, there were approximately 734 Commission registered broker-dealers that would be small entities for purposes of the statute that would be required to comply with the amendments to Rule 612 regarding quotation in the minimum pricing increments.¹⁸⁵⁸ The updated estimate number is approximately 3.5% lower and does not impact the Commission’s analysis.

Rule 612 applies to NMS stocks and the rule would apply to NMS Stock ATSS. NMS Stock ATSS that are not registered as exchanges are required to register as broker-dealers.¹⁸⁵⁹ Accordingly, NMS Stock ATSS would be considered small entities if they fall within the standard for small entities that would apply to broker-dealers. The Commission examined FOCUS data for the 33 broker-dealers that currently operate NMS Stock ATSS and, applying the test for broker-dealers described above, believes that none of the NMS Stock ATSS currently trading NMS stocks were operated by a broker-dealer that is a “small entity.”¹⁸⁶⁰

A vendor is defined in rule 600(b)(100) of Regulation NMS as any SIP engaged in the business of disseminating transaction reports, last sale data, or quotations with respect to NMS securities to brokers, dealers, or investors on a real-time or other current and continuing basis, whether through an electronic communications network, moving ticker, or interrogation

¹⁸⁵⁷ 17 CFR 240.0-10(c).

¹⁸⁵⁸ In the Proposing Release, the Commission estimated that as of June 30, 2022, there were approximately 761 Commission registered broker-dealers that would be small entities for purposes of the statute.

¹⁸⁵⁹ See rule 301(b)(1) of Regulation ATS.

¹⁸⁶⁰ A list of NMS Stock ATSS with Form ATS on file with the Commission is available at <https://www.sec.gov/about/divisions-offices/division-trading-markets/alternative-trading-systems/form-ats-n-filings-information#ats-n>. The Commission examined the list as of January 31, 2024. The number of broker-dealers that operate NMS Stock ATSS has not changed from the Proposing Release.

device.¹⁸⁶¹ Commission rule 0-10(g) states that the term small business when referring to a SIP, means any SIP that had gross revenues of less than \$10 million during the preceding year, provided service to fewer than 100 interrogation devices or moving tickers at all times during the preceding year, and is not affiliated with any person that is not a small business or small organization.¹⁸⁶² The Commission estimates as of August 31, 2022, that there are approximately 80 vendors, 13 of which would be small entities.

3. Reporting, Recordkeeping, and Other Compliance Requirements

Rule 612 will no impose any new reporting, recordkeeping, or other compliance requirements on market participants that are small entities.

4. Significant Alternatives

Pursuant to section 3 of the RFA, the Commission must consider the following types of alternatives: (a) the establishment of differing compliance or reporting requirements or timetables that take into account the resources available to small entities; (b) the clarification, consolidation, or simplification of compliance and reporting requirements under the proposed rule for small entities; (c) the use of performance rather than design standards; and (d) an exemption from coverage of the proposed rule, or any part thereof, for small entities.

The primary goal of Rule 612 is to provide uniform minimum pricing increments for NMS stocks. This primary goal continues with the amendments to Rule 612. As such, imposing different compliance or reporting requirements or possibly a different timetable for implementing compliance or reporting requirements, for small entities, could undermine the goal of uniformity. In addition, the Commission has concluded similarly that it would not be

¹⁸⁶¹ See 17 CFR 242.600(b)(100).

¹⁸⁶² See 17 CFR 242.0-10(g).

consistent with the primary goal to further clarify, consolidate, or simplify the amendments to Rule 612 for small entities. The amendments to Rule 612 are performance standards and do not dictate for entities of any size any particular design standards, e.g., technology, that must be employed to achieve the objectives of the rule. It would be inconsistent with the purposes of the Exchange Act to specify different requirements for small entities or to exempt broker-dealers from the amendments to Rule 612.

B. Amendments to Rule 610

The changes to Rule 610(c) would apply to trading centers as defined in rule 600(b)(95) that impose fees for access against a protected quotation or any other quotation of the trading center that is the best bid or best offer of a national securities exchange or national securities association. As discussed above, currently national securities exchanges are the only trading centers publishing protected quotations. Pursuant to rule 0-10(e), none of the national securities exchanges are small entities for purposes of the RFA.¹⁸⁶³

New Rule 610(d) will require all fees charged and rebates paid by national securities exchanges to be determinable at the time of execution. Pursuant to rule 1-10(e), none of the national securities exchanges are small entities for purposes of the RFA.¹⁸⁶⁴

C. Amendments to Rule 603 and Definitions Odd-Lot Information and Regulatory Data Under Rule 600

The amendments to Rule 603(b) and to the definitions of odd-lot information and regulatory data in rule 600(b) would apply to national securities exchanges registered with the Commission under section 6 of the Exchange Act, national securities associations registered with

¹⁸⁶³ See 17 CFR 240.0-10(e).

¹⁸⁶⁴ Id.

the Commission under section 15A of the Exchange Act, and the exclusive SIPs. As stated above, pursuant to rule 0-10(e), none of the national securities exchanges small entities for the purposes of the RFA.¹⁸⁶⁵ There is one national securities association, and the Commission has previously stated that it is not a small entity.¹⁸⁶⁶ With respect to the exclusive SIPs, neither SIAC nor Nasdaq meet the criteria for a “small business” or “small organization” when used with reference to a securities information processor.¹⁸⁶⁷ Thus the amendments to rules 600(b) and 603(b) would not affect any small entities. For the purposes of the RFA, the Commission certifies that the amendments to Rule 603(b) and rule 600(b) would not have a significant economic impact on a substantial number of small entities.

D. Certification

For the reasons described above, the Commission certifies that the final amendments to Rules 600, 603(b) and 610 would not have a significant economic impact on a substantial number of small entities for purposes of the RFA.

X. Other Matters

Pursuant to the Congressional Review Act,¹⁸⁶⁸ the Office of Information and Regulatory Affairs has designated these rules as a “major rule” as defined by 5 U.S.C. 804(2). The Commission considers the provisions of the final amendments to be severable to the fullest extent permitted by law. “If parts of a regulation are invalid and other parts are not,” courts “set aside only the invalid parts unless the remaining ones cannot operate by themselves or unless the

¹⁸⁶⁵ See 17 CFR 240.0-10(e).

¹⁸⁶⁶ See *supra* note 1856.

¹⁸⁶⁷ See 17 CFR 240.0-10(g). See also Securities Exchange Act Release No. 61595 (Feb. 26, 2010), 75 FR 11232, 11320 (Mar. 10, 2010) (determining that SIAC and Nasdaq are not small entities for purposes of the RFA).

¹⁸⁶⁸ 5 U.S.C. 801 *et seq.*

agency manifests an intent for the entire package to rise or fall together.” Bd. of Cnty. Commissioners of Weld Cnty. v. EPA, 72 F.4th 284, 296 (D.C. Cir. 2023); see K mart Corp. v. Cartier, Inc., 486 U.S. 281, 294 (1988). “In such an inquiry, the presumption is always in favor of severability.” Cnty. for Creative Non-Violence v. Turner, 893 F.2d 1387, 1394 (D.C. Cir. 1990). Consistent with these principles, while the Commission believes that all provisions of the final amendments are fully consistent with governing law, if any of the provisions of these amendments, or the application thereof to any person or circumstance, is held to be invalid, the Commission intends that such invalidity shall not affect other provisions or application of such provisions to other persons or circumstances that can be given effect without the invalid provision or application. In particular, the amendments relating to round lots, odd-lot information, Rule 610(c), and Rule 610(d) can operate independently from each other and from the amendments related to Rule 612. Additionally, the amendments to Rule 612 can operate independently from the amendments relating to round lots, odd-lot information, and Rule 610(d).

Statutory Authority and Text of Rule Amendments

Pursuant to the Exchange Act, and particularly sections 2, 3(b), 5, 6, 11, 11A, 15, 15A, 17, 19, 23(a), and 36 thereof, 15 U.S.C. 78b, 78c, 78e, 78f, 78k, 78k-1, 78o, 78o-3, 78q, 78s, 78w(a), and 78mm the Commission is amending sections 242.600, 242.603, 242.610, and 242.612 of chapter II of title 17 of the Code of Federal Regulations.

List of Subjects in 17 CFR Part 242

Regulations M, SHO, ATS, AC, NMS, and SBSR and Customer Margin Requirements for Security Futures.

For the reasons stated in the preamble, the Commission is amending title 17, chapter II of the Code of Federal Regulations as follows:

PART 242 – REGULATIONS M, SHO, ATS, AC, NMS, AND SBSR AND CUSTOMER MARGIN REQUIREMENTS FOR SECURITY FUTURES

1. The authority citation for part 242 continues to read as follows:

Authority: 15 U.S.C. 77g, 77q(a), 77s(a), 78b, 78c, 78c-4, 78g(c)(2), 78i(a), 78j, 78k-1(c), 78l, 78m, 78n, 78o(b), 78o(c), 78o(g), 78q(a), 78q(b), 78q(h), 78w(a), 78dd-1, 78mm, 80a-23, 80a-29, 80a-37, and 8343.

* * * * *

2. Amend §242.600 paragraph (b) by:

- a. Removing in paragraph (69)(i) the text “and” from the end of the paragraph;
- b. Adding in paragraph (69)(ii) the text “and” to the end of the paragraph;
- c. Adding paragraph (69)(iii);
- d. Removing in paragraph (89)(i)(D) the text “and” from the end of the paragraph;
- e. Removing in paragraph (89)(i)(E) the period from the end of the paragraph and adding the text “; and” in its place;
- f. Adding paragraphs (89)(i)(F) and (89)(iv);
- g. Revising paragraph (93)(i);
- h. Adding new paragraphs (93)(i)(A), (i)(B), (i)(C), and (i)(D);
- i. Redesignating paragraphs (93)(ii), (iii), (iv) as paragraphs (93)(i)(B), (i)(C), (i)(D), respectively, and removing from these paragraphs the text “For any NMS stock for which the prior calendar month’s average closing price on the primary listing exchange was”;
- j. Redesignating paragraph (93)(v) as paragraph (93)(ii) and revising paragraph (93)(ii);
- k. Revising paragraph (93)(iii);
- l. Revising paragraph (93)(iv).